

12-0351-00  
BROWN & BROWN INSURANCE SERVICES INC  
PO BOX 2412  
DAYTONA BEACH FL 32115-2412

# ***Auto-Owners*** **INSURANCE**

LIFE • HOME • CAR • BUSINESS

PO BOX 30660 • LANSING, MI 48909-8160

**Agency phone: 386.252.9601**

09-23-2025

Southern-Owners Insurance Company

CLEMENTS PEST CONTROL SERVICES LLC  
4036 43RD AVE  
VERO BEACH FL 32960-1805

You can view your policy or change your paperless options at any time online at [www.auto-owners.com](http://www.auto-owners.com).

RE: Policy 216082-72543687-25

Thank you for selecting Auto-Owners Insurance Group to service your insurance needs!

Auto-Owners and its affiliate companies offer a full complement of policies, each of which has its own eligibility requirements, coverages, and rates. Please take this opportunity to review your insurance needs with your Auto-Owners agent **386.252.9601**, and discuss which company and program might be appropriate for you. After talking with your agent, if there are any unanswered questions, please contact us at 517.323.1200.

Auto-Owners Insurance Company was formed in 1916. Our A+ (Superior) rating by AM Best signifies that we have the financial strength to provide the insurance protection you need. The Auto-Owners Insurance Group is comprised of five property and casualty companies and a life insurance company.

***Serving Our Policyholders and Agents Since 1916***

## NOTICE OF PRIVACY PRACTICES

### What We Do To Protect Your Privacy

At Auto-Owners Insurance Group\*, we value your business and we want to retain your trust. In the course of providing products and services, we may obtain nonpublic personal information about you. We assure you that such information is used only for the purpose of providing our products and services to you.

### Protecting Confidentiality

Our agents and Company associates may have access to nonpublic personal information only for the purpose of providing our products or services to you. We maintain physical, electronic and procedural safeguards against unauthorized use of your nonpublic personal information.

### Information We Obtain

To assist in underwriting and servicing your policy, we may obtain nonpublic personal information about you. For example, we routinely obtain information through applications, forms related to our products or services, from visiting [www.auto-owners.com](http://www.auto-owners.com), and your transactions with us. We may obtain such information from our affiliates, independent insurance agents, governmental agencies, third parties, or consumer reporting agencies.

The type of information that we collect depends on the product or service requested, but may include your name, address, contact information, social security number, credit history, claims history, information to properly investigate and resolve any claims, or billing information. We may obtain your medical history with your permission. The nature and extent of the information we obtain varies based on the nature of the products and services you receive.

### The Internet and Your Information

If you would like to learn about how we gather and protect your information over the Internet, please see our online privacy statement at [www.auto-owners.com/privacy](http://www.auto-owners.com/privacy).

Generally, Auto-Owners may use cookies, analytics, and other technologies to help us provide users with better service and a more customized web experience. Our business partners may use tracking services, analytics, and other technologies to monitor visits to [www.auto-owners.com](http://www.auto-owners.com). The website may use web beacons in addition to cookies. You may choose to not accept cookies by changing the settings in your web browser.

Information obtained on our websites may include IP address, browser and platform types, domain names, access times, referral data, and your activity while using our site; who should use our web site; the security of information over the Internet; and links and co-branded sites.

### Limited Disclosure

Auto-Owners Insurance Group companies do not disclose any nonpublic personal information about their customers or former customers except as permitted by law. We do not sell your personal information to anyone. We do not offer an opportunity for you to prevent or "opt out of" information sharing since we only share personal information with others as allowed by law.

When sharing information with third parties to help us conduct our business, we require them to protect your personal information. We do not permit them to use or share your personal information for any purpose other than the work they are doing on our behalf or as required by law.

The types of information disclosed may include personal information we collect as necessary to service your policy or account, investigate and pay claims, comply with state and federal regulatory requests or demands, and process other transactions that you request. Third parties that receive disclosures may include your independent agent, regulators, reinsurance companies, fraud prevention agencies, or insurance adjusters.

## **How Long We Retain Your Information**

We generally retain your information as long as reasonably necessary to provide you services or to comply with applicable law and in accordance with our document retention policy. We may retain copies of information about you and any transactions or services you have used for a period of time that is consistent with applicable law, applicable statute of limitations or as we believe is reasonably necessary to comply with applicable law, regulation, legal process or governmental request, to detect or prevent fraud, to collect fees owed, to resolve disputes, to address problems with our services, to assist with investigations, to enforce other applicable agreements or policies or to take any other actions consistent with applicable law.

In some circumstances we may anonymize your personal information (so that it can no longer be associated with you) for research or statistical purposes, in which case we may use this information indefinitely without further notice to you. This allows the specific information collected (name, email, address, phone number, etc.) to become anonymous, but allows Auto-Owners to keep the transaction or engagement data.

## **Changes to the Privacy Policy**

We will provide a notice of our privacy policy as required by law. This policy may change from time to time, but you can always review our current policy by visiting our website at [www.auto-owners.com/privacy](http://www.auto-owners.com/privacy) or by contacting us.

## **Contact Us**

Auto-Owners Insurance Company  
Phone: 844-359-4595 (toll free)  
Email: [privacyrequest@aoins.com](mailto:privacyrequest@aoins.com)

\*Auto-Owners Insurance Group includes, Auto-Owners Insurance Company, Auto-Owners Life Insurance Company, Home-Owners Insurance Company, Owners Insurance Company, Property-Owners Insurance Company and Southern-Owners Insurance Company.

## AVAILABILITY OF RISK MANAGEMENT PLAN - FLORIDA

The Florida Tort Reform and Insurance Act of 1986 requires insurance companies to make available to commercial casualty and commercial property policyholders guidelines for risk management plans.

Risk management guidelines include the following:

- A. Safety measures, including, as applicable, the following areas:
  - 1. Pollution and environmental hazards;
  - 2. Disease hazards;
  - 3. Accidental occurrences;
  - 4. Fire hazards and fire prevention and detection;
  - 5. Liability for acts from the course of business;
  - 6. Slip and fall hazards;
  - 7. Product injury; and
  - 8. Hazards unique to a particular class or category of insureds.
- B. Training to insureds in safety management techniques.
- C. Safety management counseling services.

Risk Management Plan guidelines are available at your request. If you desire this service, please contact your agent or our Loss Control Services department by e-mail at [losscontrolsupport@aoinc.com](mailto:losscontrolsupport@aoinc.com) or by phone (855) 586-5388.

59243 (6-00)

**Florida****POLICYHOLDER INFORMATION AND ASSISTANCE**

We are here to serve you and as our policyholder your satisfaction is very important to us. Should you have any questions or a complaint regarding your policy that cannot be resolved by your agent, you may contact our Lakeland Regional Office for information and assistance by calling 863-687-4505.

Auto-Owners Insurance Company  
Owners Insurance Company  
Southern-Owners Insurance Company

59243 (6-00)

Page 1 of 1

**NOTICE OF CHANGE IN POLICY TERMS  
CANCELLATION AND NONRENEWAL FORM UPDATE**

**Dear Policyholder,**

**Effective with this renewal, form 16205 (7-23) Florida Amendatory is replacing 16205 (4-23) Florida Amendatory. This endorsement amends conditions that apply to a specified notice requirement for, and a limitation on, the cancellation or termination of certain insurance policies.**

**This notice is for informational purposes only. This notice provides no coverage and it must not be construed to replace or modify any provisions of your policy or endorsements. Your policy contains the specific terms, limits and conditions of coverage, and supersedes this notice.**

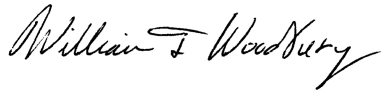
**You have the right to renew your policy. You also have the right to cancel your policy at any time. To cancel your policy, please provide the date on which cancellation is to take effect.**

**Please review the endorsement and your policy carefully. If you have any questions, please contact your Auto-Owners Insurance Agency.**

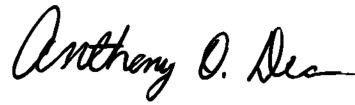
# ***Tailored Protection Insurance Policy***

***Southern-Owners Insurance Company***

In witness whereof, we, the Southern-Owners Insurance Company, have caused this policy to be issued and to be duly signed by our President and Secretary.

Handwritten signature of William F. Woodbury in cursive script.

Secretary

Handwritten signature of Anthony O. Dea in cursive script.

President



**Policy Term**  
12:01 a.m. to 12:01 a.m.  
09-27-2025 to 09-27-2026

Countersigned By: BROWN & BROWN INSURANCE SERVICES INC

Southern-Owners Ins. Co.

Issued 09-23-2025

AGENCY BROWN & BROWN INSURANCE SERVICES INC  
12-0351-00 MKT TERR 114Company POLICY NUMBER 216082-72543687-25  
Bill 72-60-FL-2109

INSURED CLEMENTS PEST CONTROL SERVICES LLC

Term 09-27-2025 to 09-27-2026

16198 (07-87)

**COMMERCIAL INLAND MARINE COVERAGE**

16436 (12-06)

**STANDARD CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE**

The coverages indicated below apply anywhere in the coverage territory. The limit for each coverage is the maximum amount available regardless of the number of locations.

| COVERAGE                                                            | LIMIT                                                          | DEDUCTIBLE |
|---------------------------------------------------------------------|----------------------------------------------------------------|------------|
| ACCOUNTS RECEIVABLE                                                 | \$100,000                                                      | \$500      |
| BUILDING MATERIALS<br>AND INSTALLATION PROPERTY                     | \$10,000                                                       | \$500      |
| CONTRACTORS EQUIPMENT AND TOOLS                                     | \$10,000 WITH A \$2,500<br>MAXIMUM LIMIT PER TOOL              | \$500      |
| CONTRACTORS EQUIPMENT<br>LOSS OF EARNINGS                           | \$2,500 PER DAY /<br>\$100,000 EACH LOSS                       | \$500      |
| ELECTRONIC DATA PROCESSING EQUIPMENT                                | \$5,000 WITH A \$2,500<br>MAXIMUM LIMIT PER<br>LAPTOP COMPUTER | \$500      |
| RENTAL REIMBURSEMENT AND EXTRA EXPENSE<br>FOR CONTRACTORS EQUIPMENT | \$500 PER DAY/\$2,500 MAXIMUM                                  | \$500      |
| VALUABLE PAPERS AND RECORDS - ON PREMISES                           | \$50,000                                                       | \$500      |
| VALUABLE PAPERS AND RECORDS - OFF PREMISES                          | \$10,000                                                       | \$500      |

Forms that apply to this coverage package:

16431 (12-06) 16432 (08-17) 16434 (12-06) 16435 (07-11) 16636 (08-17)  
16637 (08-17) 16638 (08-17)

**COINSURANCE CONTRACT** - The rate charged in this policy is based upon the use of the coinsurance clause attached to this policy, with the consent of the insured.

**COVERAGES PROVIDED**

Insurance applies to covered property for which a limit of insurance is shown.

Forms that apply to Inland Marine:

59350 (01-15) 16080 (08-86) 16203 (06-88) 55081 (05-18) 16566 (12-14)  
16757 (12-17) 59325 (12-19) 16859 (07-19) 16205 (07-23) 16431 (12-06)  
16432 (08-17) 16434 (12-06) 16435 (07-11) 16636 (08-17) 16637 (08-17)  
16638 (08-17) 16731 (12-17)

Southern-Owners Ins. Co.

Issued 09-23-2025

AGENCY BROWN & BROWN INSURANCE SERVICES INC  
12-0351-00 MKT TERR 114

Company  
Bill

POLICY NUMBER 216082-72543687-25  
72-60-FL-2109

INSURED CLEMENTS PEST CONTROL SERVICES LLC

Term 09-27-2025 to 09-27-2026

**LOCATION 0001 - BUILDING 0001**

**Location:** 4036 43Rd Ave, Vero Beach, FL 32960-1805

**Rating Information for CONTRACTORS EQUIPMENT**

Territory: 031

County: Indian River

Rate Class: 3

| COVERAGE                                                                                                                                                              | COINSURANCE | DEDUCTIBLE | LIMIT    | RATE     | PREMIUM  |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|------------|----------|----------|----------|
| CONTRACTORS EQUIPMENT<br>CONTRACTOR EQUIPMENT - SPECIAL FORM<br>1. KUBOTA UTILITY VEHICLE<br>Rtv1140Cpx<br>Serial #: KRTV114091011358<br>Valuation: Actual Cash Value |             | \$2,500    | \$17,000 | Variable | \$306.00 |
| TOTAL FOR THIS COVERAGE:                                                                                                                                              |             |            |          |          | \$306.00 |

**Rating Information for Standard Contractors Inland Marine Plus Coverage Package**

Territory: 031

County: Indian River

| COVERAGE                                                    | COINSURANCE | DEDUCTIBLE | LIMIT | RATE | PREMIUM  |
|-------------------------------------------------------------|-------------|------------|-------|------|----------|
| Standard Contractors Inland Marine Plus<br>Coverage Package |             |            |       |      | \$308.00 |
| TOTAL FOR THIS COVERAGE:                                    |             |            |       |      | \$308.00 |

Forms that apply to this location:

16241 (05-94) 16071 (07-09) 16731 (12-17) 16431 (12-06) 16432 (08-17)  
16434 (12-06) 16435 (07-11) 16636 (08-17) 16637 (08-17) 16638 (08-17)

**COMMERCIAL INLAND MARINE COVERAGE - LOCATION 0001 SUMMARY**

TERRORISM - CERTIFIED ACTS SEE FORM: 59350

**LOCATION 0001**

**PREMIUM**

\$6.00

**\$620.00**

A single deductible applies per claim. If more than one item is involved in a claim, the single highest applicable deductible amount is used.

|                                                         | PREMIUM         |
|---------------------------------------------------------|-----------------|
| <b>STANDARD CONTRACTORS INLAND MARINE PLUS SUBTOTAL</b> | <b>\$308.00</b> |

## NAMED INSURED SCHEDULE

CLEMENTS PEST CONTROL SERVICES LLC

CLEMENTS PEST CONTROL SERVICES  
SOUTHWEST LLC  
CLEMENTS P C SERVICES INC

## NEWLY ACQUIRED CONTRACTORS EQUIPMENT ENDORSEMENT

It is agreed:

PROPERTY COVERED includes contractors equipment of the type described in the Declarations, which is acquired

1. you report such newly acquired equipment to us within 30 days from the date acquired; and
2. you pay any required extra premium.

For the purposes of this endorsement, PROPERTY COVERED does not include any contractors equipment you borrow or any contractors equipment you rent or lease for a period of time which is less than one year.

All other terms and conditions of the policy apply.

## RENTAL REIMBURSEMENT AND EXTRA EXPENSE FOR CONTRACTORS EQUIPMENT FORM

Commercial Inland Marine

### COVERAGE

We cover rental reimbursement and extra expense for "Contractors Equipment" which has sustained accidental direct physical loss or damage covered under the Contractors Inland Marine Plus Coverage Package - Contractors Equipment and Tools Form or the Water Well Drillers Inland Marine Plus Coverage Package - Contractors Equipment and Tools Including Equipment Recovery (In-Hole Coverage) Form.

### Rental Reimbursement

We will cover your actual and reasonable costs to rent similar "contractors equipment":

1. which are incurred to avoid or minimize the suspension of your business;
2. which must be unavoidably incurred as a direct result of a covered loss or damage;
3. while your "contractors equipment" is being repaired or replaced; and
4. only if you are unable to continue or resume your operations with other equipment available to you at no cost.

### Extra Expense

We will cover your actual and reasonable Extra Expense:

1. which is incurred to avoid or minimize the suspension of your business;
2. which must be unavoidably incurred as a direct result of a covered loss or damage; and
3. while your "contractors equipment" is being repaired or replaced.

Extra expense includes "expediting expenses", but only to the extent it reduces the amount of loss which otherwise would have been payable under this coverage form.

### LIMIT OF INSURANCE

The most we will pay for loss in any one occurrence under this coverage form is the Limit of Insurance shown in the Declarations under CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE - RENTAL REIMBURSEMENT AND EXTRA EXPENSE FOR CONTRACTORS EQUIPMENT or WATER WELL DRILLERS INLAND MARINE PLUS COVERAGE PACKAGE - RENTAL REIMBURSEMENT AND EXTRA EXPENSE FOR CONTRACTORS EQUIPMENT.

If two or more coverages of this coverage part or policy apply to the same loss, we will pay the lesser of:

1. The actual amount of loss as determined by the valuation provision; or
2. The sum of the limits of insurance applicable to those coverages.

### ADDITIONAL CONDITIONS

#### What To Do In Case Of Loss

You must:

1. submit proper receipts to us for all expense claimed; and
2. make every reasonable effort to repair or replace the "contractors equipment" which has sustained the covered loss or damage as soon as possible.

#### Territory

This policy applies only within the continental United States and Canada.

#### Other Insurance Provided By Us

The insurance provided by this coverage form shall apply on an excess basis for any item, group or class of items specifically insured under this coverage part or under a separate policy issued by us or a company affiliated with us.

### DEFINITIONS

"Contractors Equipment" means machinery and equipment of a mobile nature used in your business that are:

1. self-propelled vehicles not designed for use on public roads;
2. attached to trailers which are designed and used to transport the machinery or equipment; or
3. vehicles designed for use on public roads that are not required to be licensed.

"Expediting expenses" means the reasonable extra costs to:

1. make temporary repairs;
2. expedite permanent repairs; or
3. expedite permanent replacement of the damaged covered "contractors equipment" including overtime and the extra cost of express or other rapid means of transportation.

All other policy terms and conditions apply.

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16566 (12-14)

**Florida**  
**AMENDATORY ENDORSEMENT - COINSURANCE CONTRACT**  
**Commercial Inland Marine**

It is agreed:

The following provision is added when Coinsurance applies.

Coinsurance contract:

The rate charged in this policy is based upon the use of

the coinsurance clause attached to this policy, with the consent of the insured.

All other policy terms and conditions apply.

16566 (12-14)

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# CONTRACTORS EQUIPMENT LOSS OF EARNINGS COVERAGE

## Commercial Inland Marine

### AGREEMENT

In return for your payment of the required premium, we provide the coverage described herein subject to the policy terms of this coverage. This coverage is also subject to the Declarations, Commercial Inland Marine Conditions and additional policy terms and conditions relating to cancellation, changes or modifications and inspections.

Endorsements and schedules may also apply. They are shown in the Declarations.

Refer to the Definition section for an additional word that has special meaning. This word is shown in the quotation marks.

The descriptions in the headings of this coverage and all applicable endorsements are solely for convenience and form no part of the terms of coverage.

### CONTRACTORS EQUIPMENT LOSS OF EARNINGS COVERAGE

#### 1. What Is Covered

- a. If your business is interrupted because of a loss to your equipment caused by a peril covered by this coverage, we will cover your actual loss of "earnings". Your "earnings" are covered for the time that it should take for you to resume normal operations. This time is not limited by the expiration date of this coverage, but it cannot be longer than the time it should reasonably take to repair, replace or rebuild damaged equipment.

- (1) You must do all that is reasonable to reduce a loss and to resume normal operations as soon as possible. If a loss can be reduced by resuming partial operations or by using other equipment, you must do so.

- (2) We will pay all expenses that you incur to reduce the loss, except expenses:

- (a) That exceed the amount by which they reduce the loss; or
- (b) To put out a fire.

#### 2. What Is Not Covered

We do not cover loss of "earnings" resulting from a loss to equipment that:

- a. Is sold on an installment plan once it leaves your premises; or
- b. You rent to others.

#### 3. Perils Covered

We cover your loss of "earnings" that arise from a direct physical loss to equipment unless the loss is

caused by a peril that is excluded under the Contractors Equipment and Tools Coverage Form. The loss must result from an external cause.

#### 4. Limit of Insurance

The most we will pay for loss or damage in any one occurrence is the applicable Limit of Insurance shown in the Declarations under CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE - CONTRACTORS EQUIPMENT LOSS OF EARNINGS COVERAGE.

If two or more coverages of this coverage part or policy apply to the same loss, we will pay the lesser of:

- a. The actual amount of loss as determined by the valuation provision; or
- b. The sum of the limits of insurance applicable to those coverages.

#### 5. Additional Conditions

**Commercial Inland Marine Conditions, Special Conditions** is amended. The following condition is added.

##### TERRITORY

This policy applies only within the continental United States and Canada.

#### 6. Definition

For purposes of this coverage only:

"Earnings" means the net profit, plus payroll expenses, taxes, interest, rents and the other normal operating expenses of your business.



16731 (12-17)

## ANTI-THEFT TRACKING DEVICE DEDUCTIBLE WAIVER

Commercial Inland Marine

It is agreed:

The **DEDUCTIBLE** provision is amended wherever found. The following provision is added.

When the covered peril of theft is provided for Contractors Equipment, we will waive the applicable deductible amount up to \$10,000, in any one occurrence, only if the covered property described in the Declarations under Contractors Equipment was equipped with an operable anti-theft tracking device at the time of loss and such device was:

- a. maintained, installed, inspected and tested according to the manufacturers or vendors recommendations; and
- b. actively engaged while the covered property was not in use.

All other policy terms and conditions apply.

16731 (12-17)

Page 1 of 1

16757 (12-17)

Florida

## INSUFFICIENT FUNDS FEE AMENDATORY

Commercial Inland Marine Coverage

It is agreed:

**COMMERCIAL INLAND MARINE CONDITIONS, SPECIAL CONDITIONS** is amended. The following condition is added.

**INSUFFICIENT FUNDS**

We may impose an insufficient funds fee of up to \$15 per occurrence, if, because of insufficient funds, your payment of premium by debit card, credit card,

electronic funds transfer or electronic check is returned, declined or cannot be processed. However, we may not charge you an insufficient funds fee if the failure in payment resulted from fraud or misuse on your account from which the payment was made and such fraud or misuse was not attributed to you.

All other policy terms and conditions apply.

16757 (12-17)

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16859 (7-19)

# ACTUAL CASH VALUE AND DEPRECIATION

## Commercial Inland Marine

It is agreed:

Wherever it appears in this policy and any endorsement attached to this policy:

1. Actual cash value means the cost to repair or replace lost or damaged property with property of similar quality and features reduced by the amount of depreciation applicable to the lost or damaged property immediately prior to the loss.
2. Depreciation means a decrease in value because of age, wear, obsolescence or market value and includes:
  - a. The cost of materials, labor and services;

- b. Any applicable taxes; and
- c. Profit and overhead necessary to repair, replace or rebuild lost or damaged property.

The meaning of actual cash value and depreciation in this endorsement supersedes any provision in this policy and any endorsement attached to this policy to the contrary.

All other policy terms and conditions apply.

16859 (7-19)

Page 1 of 1

**COINSURANCE CONTRACT**

16071 (7-09)

**CONTRACTORS EQUIPMENT FORM****COVERAGE****1. Property Covered**

We cover the property described in the Declarations under Contractors Equipment.

**2. Property Not Covered**

We do not cover:

- a. automobiles or similar vehicles;
- b. plans, blue prints, designs or specifications;
- c. property while stored or operated underground in connection with any mining operations; and
- d. property which has become a permanent part of any structure.

**PERILS WE INSURE AGAINST**

We cover accidental direct physical loss or damage to covered property, except for losses excluded in this form.

**EXCLUSIONS**

We do not cover under this form loss or damage caused directly or indirectly by any of the following, whether or not any other cause or happening contributes concurrently or in any sequence to the loss or damage:

1. Seizure or destruction of property by order of governmental authority. We will pay for such acts of destruction taken at the time of a fire to prevent its spread if the fire would be covered under this form.
2. Nuclear action meaning nuclear reaction, radiation, radioactive contamination, discharge of a nuclear weapon, however caused and whether controlled or uncontrolled, or any consequence of any of these. We will cover direct loss resulting from fire if caused by any of these, if fire is covered elsewhere in this form.
3. War (declared or undeclared), civil war, insurrection, rebellion or revolution.
4. Wear and tear; inherent vice; hidden or latent defect; gradual deterioration; mechanical break down; insects, vermin, rodents; or depreciation. We will cover direct loss from fire or explosion which is caused by any of these.
5. A process to repair, adjust, service or maintain the property covered. If a fire or explosion results, we will cover the loss caused by the fire or explosion.
6. Corrosion, rusting, dampness of atmosphere, or extremes of temperature.
7. Misappropriation, secretion, conversion, infidelity or any dishonest act by you or others or the employees or agents of either to whom the covered property may be entrusted. This exclusion does not apply to carriers for hire.
8. Artificially generated electrical currents to electrical apparatus. We will cover loss or damage caused directly by ensuing fire or explosion.
9. The weight of a load exceeding the registered lifting or supporting capacity of any machine.
10. While covered property is being supported or carried on water except loss or damage caused by fire.
11. Strikes, lockouts, labor disturbances, riots and civil commotion; or the acts of any person or persons taking part in such occurrences or disorders.

**LIMITS OF LIABILITY**

We shall not be liable for more than the limits shown in the Declarations under Contractors Equipment.

**ADDITIONAL CONDITIONS****Coinsurance Clause**

We will pay no more than the amount of loss or damage multiplied by the ratio of the amount of insurance on the property covered to 100% of its actual cash value or replacement cost, as stated in the Declarations or Schedule, at the time of loss.

**Territory**

This policy applies only within the continental United States and Canada.

**Special Condition**

Each item of property described in the Declarations under Contractors Equipment is deemed to be separately insured.

Under **COMMERCIAL INLAND MARINE CONDITIONS, SPECIAL CONDITIONS**, the condition **VALUATION** is deleted and replaced by the following as it applies to this form only:

**VALUATION**

Loss of or damage to property covered shall be adjusted on the basis of:

1. actual cash value; or
2. replacement cost

as stated in the Declarations or Schedule.

Replacement cost is the value of the covered property based on the cost at the time of loss to repair or replace the covered property with like kind or quality without any deduction for depreciation and subject to the following:

1. Replacement cost valuation will not apply until actual repair or replacement of the damaged or destroyed covered property occurs.
2. If you decide not to repair or replace the damaged or destroyed covered property, we will settle on an actual cash value basis and deduct for depreciation. You may make a claim within 180 days after the loss for any additional payment on a replacement cost basis.

All scheduled items valued on a Replacement Cost basis will automatically change to Actual Cash Value when the age of the item exceeds five years as determined by the original date of manufacture.

## COMMERCIAL INLAND MARINE CONDITIONS

### INSURING AGREEMENT

We agree to provide insurance subject to all the terms of this coverage part. In return, you must pay the premium and comply with all the terms of this coverage part.

This insurance applies to loss which occurs during the policy period as shown in the Declarations. The coverages provided, the limits of our liability and the premiums are also shown in the Declarations.

#### DEFINITIONS

To understand this coverage part, you must understand what we mean when we use these words:

"**You**" and "**Your**" mean the insured named in the Declarations.

"**We**", "**us**" and "**our**" mean the Company providing this insurance.

#### WHAT TO DO IN CASE OF LOSS

If covered loss occurs, you agree to:

- (a) Give us or our agent immediate written notice. In case of theft also notify the police.
  - (b) Protect the property from further damage, making necessary and reasonable repairs to do so and keeping records of the cost.
  - (c) Make a list of all damaged and destroyed property, showing in detail quantities, costs, actual cash value and amount of loss claimed.
  - (d) Send to us, within 60 days of our request, proof of loss signed and sworn to by the insured person, including:
    - (1) the time and cause of loss;
    - (2) the interest of insured persons and all others in the property;
- (3) actual cash value and amount of loss to the property;
  - (4) all encumbrances on the property;
  - (5) other policies covering the loss; and
  - (6) changes in the title, use or possession of the property.
  - (e) Exhibit the damaged property to us or our representative as often as may be reasonably required.
  - (f) Submit to examinations under oath by any person we name and sign the transcript of the examinations.
  - (g) Produce for examination, with permission to copy, all books of account, bills, invoices, receipts and other vouchers as we may reasonably require.

**SPECIAL CONDITIONS**

**ABANDONMENT** We are not obligated to accept abandoned property.

**APPRAISAL** If you and we fail to agree on the actual cash value or amount of loss, either party may make written demand for an appraisal. Each party will select an appraiser and notify the other of the appraiser's identity within 20 days after the demand is received. The appraisers will select a competent and impartial umpire. If the appraisers are unable to agree upon an umpire within 15 days, you or we can ask a judge of a court of record having jurisdiction where the appraisal is pending to select an umpire.

The appraisers shall then appraise the loss, stating separately the actual cash value and the amount of loss to each item. If the appraisers submit a written report of an agreement to us, the amount agreed upon shall be the actual cash value or amount of loss. If they cannot agree, they will submit their differences to the umpire. A written award by two will determine the actual cash value or amount of loss.

Each party will pay the appraiser it chooses, and equally pay the umpire and all other expenses of the appraisal.

**CONCEALMENT, MISREPRESENTATION OR FRAUD**

This entire policy is void in any case of fraud by you or if you have intentionally concealed or misrepresented any material fact or circumstance relating to this insurance.

**OUR PAYMENT OF LOSS** We will pay you or make good any loss covered by this policy, unless another payee is named in the policy. We will pay within 30 days after:

- (a) We receive your proof of loss; and
- (b) The amount of loss is finally determined by an agreement between you and us, a court judgement or an appraisal award.

We will not pay or make good any loss which you have collected from others.

**OTHER INSURANCE** If you have other insurance covering the same loss as this insurance, we will pay only the excess over what the other insurer should pay. We will pay the excess whether you can collect on the other insurance or not.

**PAIR OR SET** In case of loss of or damage to any part of a pair or set, we may:

- (a) repair or replace any part of the pair or set to restore it to its value before the loss; or
- (b) pay the difference between the actual cash value of the property before and after the loss.

**PARTS** In case of loss or damage to any part of property covered, consisting of several parts when complete, we shall pay only for the value of the part lost or damaged.

**RIGHT TO ADJUST LOSS WITH OWNER** If a loss involved property of others in your care, custody or control, we may:

- (a) settle the loss with the owners; or
- (b) defend you against any claim or suit at our cost. The expense of the defense will not reduce the limit of this insurance.

**RECOVERIES** Any recovery or salvage on a loss belongs to us until we recover what we have paid.

**LOSS CLAUSE** The amount of insurance under this policy will not be reduced except for total loss of a scheduled item. Any unearned premium that applies to such item will be refunded.

**OUR RIGHT TO RECOVER PAYMENT** After making payment under this policy, we will have the right to recover to the extent of our payment from anyone held responsible. You agree to do whatever is required to transfer this right to us.

**SUIT AGAINST US** We may not be sued unless there is full compliance with all the terms of this policy. Suit must be brought within two years after you first know of the loss or damage.

**NO BENEFIT TO BAILEE** This insurance will not, in any way, benefit any other person or organization who may be caring for or handling property for a fee.

**VALUATION** We will not pay more than the least of:

- (a) The actual cash value of the damaged property at the time any loss or damage occurs. Actual cash value may include a deduction for depreciation;

(b) the cost to repair or replace the damaged property with like kind or quality; or

(c) the amount of insurance stated for the class of property.

**DEDUCTIBLE** Each claim for loss or damage will be adjusted separately. We will deduct the amount stated in the Declarations (or in the form that applies) from each adjusted claim.

**ASSIGNMENT** No interest in this policy may be assigned without our written consent. But if you are an individual named insured and die, we will cover:

(a) your legal representative but only within the scope of his duties as such; and

(b) anyone having proper temporary custody of your insured property, but only:

1. with respect to that property; and
2. until your representative is appointed.

#### WHEN TWO OR MORE COVERAGES APPLY

If two or more of this policy's coverages apply to the same loss or damage, we shall pay no more than the actual amount of such loss or damage.

## COMMON POLICY CONDITIONS (INLAND MARINE)

The following conditions apply to the INLAND MARINE COVERAGE PART:

### 1. CANCELLATION

- a. You may cancel this policy by mailing or delivering to us advance written notice of cancellation.
- b. We may cancel this policy by mailing or delivering to you written notice of cancellation at least:
  - 1) 10 days before the effective date of cancellation, if we cancel for nonpayment of premium; or
  - 2) 30 days before the effective date of cancellation, if we cancel for any other reason.
- c. We will mail or deliver our notice to your mailing address shown in the Declarations.
- d. The notice of cancellation will state the effective date of cancellation. The policy period will end on that date.
- e. Refund of any premium due will be made as soon as practicable after the date of cancellation. You will be charged premium only for the days you were covered during the policy period. The cancellation will be effective even if we have not made or offered a refund.
- f. Proof of mailing will be sufficient proof of notice.

### 2. CHANGES

This policy and the Declarations include all the agreements between you and us relating to this insurance. No change or waiver may be effected in this policy except by endorsement issued by us.

If a premium adjustment is necessary, we will make the adjustment as of the effective date of the change.

### 3. EXAMINATION OF YOUR BOOKS AND RECORDS

We may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.

### 4. INSPECTIONS AND SURVEYS

We have the right, but are not obligated to:

- a. make inspections and surveys at any time;
- b. give you reports on the conditions we find based upon a. above; and
- c. make recommendations for changes based upon a. above.

Such inspections, surveys, reports or recommendations relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. We do not warrant that conditions:

- a. are safe or healthful; or
- b. comply with laws, regulations, codes or standards.

This condition applies not only to us, but also to any rating, advisory, rate service or similar organization which makes these insurance inspections, surveys, reports or recommendations for us.

### 5. PREMIUMS

The first Named Insured shown in the Declarations:

- a. is responsible for the payment of all premiums; and
- b. will be the payee for any return premiums we pay.



**6. TRANSFER OF YOUR RIGHTS AND DUTIES  
UNDER THIS POLICY**

Interest in this policy may not be transferred without our written consent. But if you die, the policy will cover:

- a. your legal representative while acting in that capacity; and
- b. any person having proper custody of insured property until a legal representative is appointed.

## FLORIDA AMENDATORY

### Commercial Inland Marine

It is agreed:

**1. COMMERCIAL INLAND MARINE CONDITIONS** is amended as follows:

**a. Under WHAT TO DO IN CASE OF LOSS**, the following condition is added:

- (1)** A claim or reopened claim, but not a supplemental claim, for loss or damage caused by any peril is barred unless notice of the claim was given to us in accordance with the terms of this policy within 1 year after the date of loss. A supplemental claim is barred unless notice of the supplemental claim was given to us in accordance with the terms of this policy within 18 months after the date of loss.

Reopened claim means a claim which we previously closed, but has been reopened upon an insured's request for additional costs for loss or damage previously disclosed to us.

Supplemental claim means a claim for additional loss or damage from the same peril which we have previously adjusted or for which costs have been incurred while completing repairs or replacement pursuant to an open claim for which we previously received timely notice for.

For claims resulting from hurricanes, tornadoes, windstorms, severe rain, or other weather-related events, the date of loss is the date that the hurricane made landfall or the tornado, windstorm, severe rain or other weather-related event is verified by the NOAA.

This condition does not affect any applicable limitation for legal action provided by this policy under **SUIT AGAINST US** Condition for claims, supplemental claims, or reopened claims that are timely filed in accordance with Florida law.

- (2)** Any inspection or survey by us, or on our behalf, of property that is the subject of a

claim, will be conducted with at least 48 hours' notice to you, your public adjuster or your legal representative. The 48-hour notice may be waived by you.

**b. Under SPECIAL CONDITIONS, OUR PAYMENT OF LOSS** is deleted and replaced by the following:

**OUR PAYMENT OF LOSS**

We will pay you or make good any loss covered by this policy, unless another payee is named in the policy. We will pay within:

- (1)** 20 days after we receive your proof of loss and the amount of loss is finally determined by a written agreement between you and us; or
- (2)** 30 days after we receive your proof of loss and the amount of loss is finally determined by a court judgment or an appraisal award.
- We will not pay or make good any loss which you have collected from others.

**2. Under COMMON POLICY CONDITIONS (INLAND MARINE), 1. CANCELLATION** is deleted and replaced by the following:

**1. CANCELLATION**

- a.** You may cancel this policy by returning it to us or our authorized agent or by mailing written notice to us stating when such cancellation will be effective.
- b.** We may cancel this policy by mailing or delivering written notice to you at the last mailing address known to us stating when such cancellation shall be effective.
- (1)** If this policy has been in effect for 60 days or less and is not a renewal, the notice of cancellation will be mailed at least:
- (a)** 10 days before the effective date of cancellation when the reason for cancellation is nonpayment of premium; or
- (b)** 20 days before the effective date of cancellation when we cancel for any other reason, except we may cancel immediately when there has been:

- 1) a material misstatement or misrepresentation; or
  - 2) a failure to comply with underwriting requirements established by us.
- (c) We may not cancel:
- 1) On the basis of filing of claims for partial loss caused by sinkhole damage or clay shrinkage, regardless of whether this policy has been the subject of a sinkhole or clay shrinkage claim, or on the basis of the risk associated with the occurrence of such a claim. However, we may cancel this policy if:
    - a) the total of such claim payments for this policy exceed the current policy property damage limit; or
    - b) you have failed to repair the structure in accordance with the engineering recommendations upon which any loss payment or policy proceeds were based.
  - 2) Solely on the basis of a single property insurance claim which is the result of water damage, unless we can demonstrate that you have failed to take action reasonably requested by us to prevent a future similar occurrence of damage to the insured property.
- (2) If this policy has been in effect for more than 60 days or is a renewal, the notice of cancellation will be mailed at least:
- (a) 10 days before the effective date of cancellation when the reason for cancellation is nonpayment of premium; or
  - (b) 45 days before the effective date of cancellation when the reason for cancellation is one or more of the following reasons:
    - 1) the policy was obtained by a material misstatement;
    - 2) there has been a failure to comply with underwriting requirements established by us within 60 days of the effective date of coverage;
    - 3) a substantial change in the risk covered by this policy;
    - 4) the cancellation is for all insureds under such policies for a given class of insureds;
    - 5) on the basis of property insurance claims that are the result of an act of God, if we can demonstrate, by claims frequency or otherwise, that you have failed to take action reasonably necessary as requested by us to prevent recurrence of damage to the insured property;
    - 6) on the basis of filing of claims for partial loss caused by sinkhole damage or clay shrinkage, or on the basis of the risk associated with the occurrence of such a claim if:
      - a) the total of such claim payment for this policy exceed the current policy property damage limits; or
      - b) you have failed to repair the structure in accordance with the engineering recommendations upon which any loss payment or policy proceeds were based;
    - 7) on the basis of a single property insurance claim which is the result of water damage, if we can demonstrate that you have failed to take action reasonably requested by us to prevent a future similar occurrence of damage to the insured property; or
    - 8) The Florida Office of Insurance Regulation finds that the early cancellation of some or all of our policies is necessary to protect the best interests of the public or policyholders and the Office approves our plan for early cancellation of some or all of our policies.
- If this policy is canceled by us or at your request and is not subject to audit, we shall return any unearned premium to you within 15 working days after the effective date of the cancellation.

If this is an audit policy and you fully cooperate with our agent and us in securing the necessary audit data, we shall return any unearned premium within 90 days from the date of cancellation. If such audit is not completed within this time limitation, then we shall accept your audit and return any unearned premium by mail within 10 working days upon receipt of your audit.

**3. Under COMMON POLICY CONDITIONS (INLAND MARINE), the following is added:**  
**NONRENEWAL**

If we decide not to renew this policy, we will mail or deliver to you written notice of nonrenewal stating the specific reason(s) for nonrenewal at least 45 days prior to the expiration date of the policy. We may nonrenew this policy if the Florida Office of Insurance Regulation finds that the early nonrenewal of some or all of our policies is necessary to protect the best interests of the public or policyholders and the Office approves our plan for early nonrenewal of some or all of our policies.  
We may not refuse to renew this policy:

- a. On the basis of property insurance claims that are the result of an act of God, unless we can demonstrate, by claims frequency or otherwise, that you have failed to take action reasonably necessary as requested by us to prevent recurrence of damage to the insured property; or
- b. On the basis of filing of claims for sinkhole loss if:
  - (1) the total of such claim payments for this policy does not equal or exceed the policy property damage limit on the date of loss; or
  - (2) you repaired the structure in accordance with the engineering recommendations upon which any loss payment or policy proceeds were based; or
- c. On the basis of a single property insurance claim which is the result of water damage, unless we can demonstrate that you have failed to take action reasonably requested by us to prevent a future similar occurrence of damage to the insured property.

All other policy terms and conditions apply.

## **CONTRACTORS EQUIPMENT AND TOOLS FORM**

### **Commercial Inland Marine**

#### **COVERAGE**

##### **1. Property Covered**

We cover "contractors equipment" and "tools" owned, leased, rented or borrowed by:

- a. you; or
- b. your employees, while used in the course of your business.

##### **2. Property Not Covered**

We do not cover:

- a. automobiles, vehicles, trailers and their respective attached equipment if they are required to be licensed or registered for use on public roads;
- b. watercraft, "recreational vehicles" or aircraft;
- c. plans, blue prints, designs or specifications;
- d. building materials or supplies;
- e. office furnishings or equipment;
- f. computers and their equipment;
- g. communication devices;
- h. underground property or property located underground;
- i. property which has become a permanent part of any structure; and
- j. contraband.

#### **PERILS WE INSURE AGAINST**

We cover accidental direct physical loss or damage to covered property, except for losses excluded in this form.

#### **EXCLUSIONS**

We do not cover loss or damage caused directly or indirectly by any of the following, whether or not any other cause or happening contributes concurrently or in any sequence to the loss or damage:

1. Seizure or destruction of property by order of governmental authority. We will pay for such acts of destruction taken at the time of a fire to prevent its spread if the fire would be covered under this form.

2. Nuclear action meaning nuclear reaction, radiation, radioactive contamination, discharge of a nuclear weapon, however caused and whether controlled or uncontrolled, or any consequence of any of these. We will cover direct loss resulting from fire if caused by any of these.
3. War (declared or undeclared), civil war, insurrection, rebellion or revolution.
4. Wear and tear; inherent vice; hidden or latent defect; gradual deterioration; mechanical breakdown; insects, vermin, rodents; or depreciation. We will cover direct loss from fire or explosion which is caused by any of these.
5. A process to repair, adjust, service or maintain the property covered. If a fire or explosion results, we will cover the loss caused by the fire or explosion.
6. Corrosion, rusting, dampness of atmosphere or extremes of temperature.
7. Misappropriation, secretion, conversion, theft, infidelity or any dishonest act by you or others or the employees or agents of either to whom the covered property may be entrusted. This exclusion does not apply to carriers for hire.
8. Artificially generated electrical currents to electrical apparatus. We will cover loss or damage caused directly by ensuing fire or explosion.
9. The weight of a load exceeding the registered lifting or supporting capacity of any machine.
10. To "contractors equipment" that is being supported or carried on water except loss or damage caused by fire.
11. Strikes, lockouts, labor disturbances, riots and civil commotion; or the acts of any person or persons taking part in such occurrences or disorders.
12. To "tools" that are missing or damaged by an unexplainable or unaccountable cause where there is no visible evidence that the loss or damage resulted from a peril insured against.

## LIMIT OF INSURANCE

The most we will pay for loss or damage in any one occurrence is the applicable Limit of Insurance shown in the Declarations under CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE - CONTRACTORS EQUIPMENT AND TOOLS.

If two or more coverages of this coverage part or policy apply to the same loss, we will pay the lesser of:

1. The actual amount of loss as determined by the valuation provision; or
2. The sum of the limits of insurance applicable to those coverages.

## ADDITIONAL CONDITIONS

### Territory

This policy applies only within the continental United States and Canada.

### Other Insurance Provided By Us

The insurance provided by this coverage form shall apply on an excess basis for any item, group or class of items specifically insured under this coverage part or under a separate insurance policy, issued by us or a company affiliated with us.

**DEFINITIONS**

1. "Contractors Equipment" means machinery and equipment of a mobile nature used in your business that are:
  - a. self-propelled vehicles not designed for use on public roads;
  - b. attached to trailers which are designed and used to transport the machinery or equipment; or
  - c. vehicles designed for use on public roads that are not required to be licensed.
2. "Tools(s)" means equipment of a portable nature used in your business that are not "contractors equipment".
3. "Recreational Vehicles" means a motorized land vehicle designed primarily for recreational purposes but not designed for travel on public roads.

All other policy terms and conditions apply.

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# ELECTRONIC DATA PROCESSING EQUIPMENT FORM

## Commercial Inland Marine

### COVERAGE

#### 1. Property Covered

We cover:

- a. Electronic Data Processing Equipment, component parts of such Electronic Data Processing Equipment, "media" and air conditioning equipment necessary for the operation of the Electronic Data Processing Equipment which you own or which is in your care, custody or control; and
- b. Your costs to research, replace or restore information on the "media" which arises from covered direct physical loss or damage.

#### 2. Property Not Covered

We do not cover "media" which is rendered obsolete or not usable because of loss or damage to any covered property.

### PERILS WE INSURE AGAINST

We cover accidental direct physical loss or damage to covered property, except for losses excluded in this form.

### EXCLUSIONS

We do not cover loss or damage caused directly or indirectly by any of the following, whether or not any other cause or happening contributes concurrently or in any sequence to the loss or damage.

1. Seizure or destruction of property by order of governmental authority. We will pay for such acts of destruction taken at the time of a fire to prevent its spread if the fire would be covered under this form.
2. Nuclear reaction, radiation, radioactive contamination, discharge of a nuclear weapon, however caused and whether controlled or uncontrolled, or any consequence of any of these. We will cover accidental direct physical loss resulting from fire if caused by any of these.
3. War (declared or undeclared), civil war, insurrection, rebellion or revolution.
4. Wear and tear, inherent vice, hidden or latent defect; gradual deterioration; insect, vermin or rodents; depreciation; or by processing or any work on the property. We will cover accidental direct physical loss from fire or explosion which is caused by any of these.
5. Loss or damage caused by:
  - a. corrosion or rusting;

- b. dryness or dampness of atmosphere; or
  - c. extremes of temperature
- unless directly resulting from accidental direct physical damage to the data processing system's air conditioning equipment caused by a peril not excluded.
6. Any dishonest, fraudulent or criminal act by:
    - a. you;
    - b. your partners; or
    - c. any of your officers, directors or trustees whether acting alone or in collusion with others.
  7. Loss or damage caused by data processing media failure while the media is being run through the system. We will cover loss, damage or expense caused directly by ensuing fire or explosion.
  8. Actual work upon, installation or testing of property covered. We will cover loss caused by ensuing fire or explosion.
  9. Faulty construction or error in design of the property covered. We will cover loss, damage or expense caused directly by ensuing fire or explosion.
  10. Delay or loss of market.
  11. Breakage, marring, scratching, tearing or denting of any "laptop computer", unless caused by:
    - a. fire or lightning;
    - b. aircraft;
    - c. theft or attempted theft;
    - d. windstorm or hail;
    - e. earthquake;
    - f. flood;
    - g. explosion;
    - h. vandalism or malicious mischief; or
    - i. collision, derailment or overturn of a transporting conveyance.

### LIMIT OF INSURANCE

1. Our payment for electronic equipment, component parts of such equipment and air conditioning equipment necessary for the operation of such electronic equipment shall not exceed the Limit of Insurance shown in the Declarations for CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE - ELECTRONIC DATA PROCESSING EQUIPMENT or WATER WELL DRILLERS INLAND MARINE PLUS COVERAGE PACKAGE - ELECTRONIC DATA PROCESSING EQUIPMENT.
2. Our payment for "media" shall not exceed the smallest of the following:



- a. the actual cost to repair, replace or reproduce the "media", including your costs to research, replace or restore information;
- b. if the "media" is not repaired, replaced or reproduced, the value of blank "media"; or
- c. the Limit of Insurance shown in the Declarations for CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE - ELECTRONIC DATA PROCESSING EQUIPMENT or WATER WELL DRILLERS INLAND MARINE PLUS COVERAGE PACKAGE - ELECTRONIC DATA PROCESSING EQUIPMENT.

The Limit of Insurance shown in the Declarations for CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE - ELECTRONIC DATA PROCESSING EQUIPMENT or WATER WELL DRILLERS INLAND MARINE PLUS COVERAGE PACKAGE - ELECTRONIC DATA PROCESSING EQUIPMENT is the total limit of our liability for loss or damage to all Covered Property in any one occurrence. With respect to Covered Property you do not own, our payment for loss or damage to property of others will only be for the account of the owner of the property.

If two or more coverages of this coverage part or policy apply to the same loss, we will pay the lesser of:

1. The actual amount of loss as determined by the valuation provision; or
2. The sum of the limits of insurance applicable to those coverages.

## COVERAGE EXTENSION

### Extra Expense

We will pay to cover the necessary extra expense you incur to continue, as closely as possible, the "normal" functioning of your Electronic Data Processing operations immediately following loss or damage to covered property which is caused by a peril we insure against.

We do not cover under this extension:

1. loss of income;
2. the cost of repairing or replacing any of the covered property;
3. the cost of research or other expense necessary to replace or restore: books of account; manuscripts, abstracts or drawings; card index systems; film, tape, disk, drum, cell and other magnetic recording or storage media for electronic data processing; and other records that have been damaged by a peril not excluded; and
4. any other consequential or remote loss.

We do cover the cost in excess of the "normal" cost of such repair, replacement or restoration necessarily incurred for the purpose of reducing the total amount of extra expense payable under this coverage. But, we will pay no more than such excess exceeds the amount by which the total extra expense otherwise payable under this extension is reduced.

Any salvage value of property obtained for temporary use during the "period of restoration" which remains after "normal" "operations" resume shall be taken into consideration in the adjustment of loss covered under this extension.

### Limit of Insurance

We will pay up to \$5,000 for necessary Extra Expense during the "period of restoration" starting with the date of damage or destruction. Payments under this extension of coverage shall not be limited by the expiration of the policy.

### Loss Determination

The amount of Extra Expense will be determined based on all expenses that exceed the "normal operating expenses that would have been incurred by "operations" during the "period of restoration" if no direct physical loss or damage had occurred. We will deduct from the total of such expenses:

1. the salvage value that remains of any property bought for temporary use during the "period of restoration" once "operations" are resumed;
2. any Extra Expense that is paid for by other insurance, except for insurance that is written subject to the same plan, terms, conditions and provisions as this insurance; and
3. the amount of your Extra Expense loss to the extent you can return "operations" to "normal" and discontinue such Extra Expense.

If you do not resume "operations", or do not resume "operations" as quickly as possible, we will pay based on the length of time it would have taken to resume "operations" as quickly as possible.

## ADDITIONAL CONDITIONS

### Territory

This policy applies only within the continental United States and Canada.

### Other Insurance Provided By Us

The insurance provided by this coverage form shall apply on an excess basis for any item, group or class of items specifically insured under this coverage part or under a separate insurance policy, issued by us or a company affiliated with us.

## DEFINITIONS

The following definitions apply only to this Additional Coverage:

1. "Extra Expense" means the total cost:
  - a. incurred during the period of restoration;
  - b. chargeable to your "operations"; and
  - c. over and above the total cost that would normally have been incurred to conduct your "operations" during the same period had no loss occurred.
2. "Laptop computer" means portable data collectors, notebook (laptop) computers, subnotebook computers, palmtop computers, handheld computers,

tablet computers, credit card readers and portable or any similar computer. "Laptop computer" does not mean cellular phone, wireless phone or pager.

3. "Media" means materials on which information is recorded such as film, magnetic tape, paper tape, disks, drums, cards, cells, drives, CD-ROMs and any other data processing devices. Media includes computer software.
4. "Normal" means the condition that would have existed had no loss occurred.
5. "Operations" means your Electronic Data Processing activities.
6. "Period of Restoration" means the period of time that:
  - a. begins with the date of direct physical loss or damage caused by or resulting from any Covered Cause of Loss; and

- b. ends on the date when the property should be repaired, rebuilt or replaced with reasonable speed and similar quality.

"Period of restoration" does not include any increased period required due to the enforcement of any law that:

- a. regulates the construction, use or repair, or requires the tearing down of any property; or
  - b. regulates the prevention, control, repair, clean-up or restoration of environmental damage.

The expiration date of this policy will not cut short the "period of restoration".

All other policy terms and conditions apply.

## **BUILDING MATERIALS AND INSTALLATION PROPERTY FORM**

### **Commercial Inland Marine**

#### **COVERAGE**

1. We cover building materials and installation property:
  - a. owned by you; or
  - b. for which you are legally liablethat is to be installed in, on or attached next to a building or structure.
2. Coverage applies:
  - a. while it is in transit;
  - b. in temporary storage, if it has been specifically allocated and waiting for delivery to job sites where work is in progress or will start within 30 days of such property's deposit at the storage site;
  - c. after arrival on the premises of installation;
  - d. while waiting for and during installation; and
  - e. until it is completely installed as a physical part of the realty and accepted by the purchaser or until your interest in it ceases, whichever occurs first.

#### **PERILS WE INSURE AGAINST**

We cover accidental direct physical loss or damage to covered property, except for losses excluded in this form.

#### **EXCLUSIONS**

We do not cover loss or damage caused directly or indirectly by any of the following, whether or not any other cause or happening contributes concurrently or in any sequence to the loss or damage:

1. Seizure or destruction of property by order of governmental authority. We will pay for such acts of destruction taken at the time of a fire to prevent its spread if the fire would otherwise be covered under this form.
2. Nuclear reaction, radiation, radioactive contamination, discharge of a nuclear weapon, however caused and whether controlled or uncontrolled, or any consequence of any of these. We will cover direct loss resulting from fire if caused by any of these.
3. War (declared or undeclared), civil war, insurrection, rebellion or revolution.
4. Wear and tear; inherent vice; hidden or latent defect; gradual deterioration; mechanical breakdown; insects, vermin or rodents; corrosion or rust; dampness or extreme temperature.
5. Artificially generated electrical currents to electrical appliances and devices including wiring. We will cover loss or damage caused directly by ensuing fire or explosion.

6. Error, omission or deficiency in design, specifications, workmanship or materials. We also do not cover direct or indirect expenses resulting from any of these.
7. Smoke from fireplaces or industrial equipment.
8. Misappropriation, secretion, conversion, theft, infidelity or any dishonest act by you or others or the employees or agents of either to whom the covered property may be entrusted. This exclusion does not apply to carriers for hire.

## LIMIT OF INSURANCE

The most we will pay for loss or damage in any one occurrence is the Limit of Insurance shown in the Declarations under CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE - BUILDING MATERIALS AND INSTALLATION PROPERTY.

If two or more coverages of this coverage part or policy apply to the same loss, we will pay the lesser of:

1. The actual amount of loss as determined by the valuation provision; or
2. The sum of the limits of insurance applicable to those coverages.

## ADDITIONAL CONDITIONS

### Territory

This coverage applies only in the continental United States and Canada.

### Other Insurance Provided By Us

The insurance provided by this coverage form shall apply on an excess basis for any item, group or class of items specifically insured under this coverage part or under a separate insurance policy issued by us or a company affiliated with us.

All other policy terms and conditions apply.

# ACCOUNTS RECEIVABLE COVERAGE

## Commercial Inland Marine

### AGREEMENT

In return for your payment of the required premium, we provide the coverage described herein subject to the policy terms of this coverage form. This coverage is also subject to the Declarations, Commercial Inland Marine Conditions and additional policy terms and conditions relating to cancellation, changes or modifications and inspections.

Endorsements and schedules may also apply. They are shown in the Declarations.

The descriptions in the headings of this coverage form and all applicable endorsements are solely for convenience and form no part of the terms of coverage.

### COVERAGE

#### 1. We will pay:

- a. All amounts your customers owe you that you cannot collect;
- b. Interest charges on loans you secure to offset impaired receipts until we pay these amounts;
- c. Collection costs in excess of normal; and
- d. Other expenses you reasonably incur to re-establish your records which result from direct physical loss to your records of accounts receivable caused by perils we insure against and which occur on the premises shown in the Declarations.

#### 2. Removal

When there is imminent danger of loss, this insurance will apply while your records:

- a. Are being removed to;
- b. Are at; or
- c. Being returned from a place of safety. This provision 2., does not increase the limit of insurance.

### PERILS WE INSURE AGAINST

We cover risk of direct physical loss or damage, not excluded in this coverage form, to the property covered.

### EXCLUSIONS

#### 1. We do not cover loss caused directly or indirectly by any of the following, whether or not any other cause or happening contributes concurrently or in any sequence to the loss:

- a. Seizure or destruction of property by order of governmental authority. We will pay for such acts of destruction taken at the time of the fire to prevent its spread if the fire would be covered under this coverage form.
- b. Nuclear action, meaning nuclear reaction, radiation, radioactive contamination, discharge of a nuclear weapon, however caused and whether controlled or uncontrolled, or any consequence of any of these. We will cover direct loss resulting from fire if caused by any of these, if fire is covered elsewhere in this coverage form.

- c. War (declared or undeclared), civil war, insurrection, rebellion or revolution.
- d. Any dishonest act by:
  - (1) You or your employees;
  - (2) Your authorized representatives; or
  - (3) Anyone entrusted with the property while working or not working and whether alone or in collusion with others.
- e. Bookkeeping, accounting or billing errors or omissions.
- f. Falsification, alteration, concealment or destruction of records done to conceal the wrongful giving, taking or withholding of money, securities or other property. This exclusion applies only to the extent of the wrongful giving, taking or withholding.
- g. Electrical or magnetic injury, disturbance or erasure of electronic recordings. We do cover direct loss caused by lightning.
- h. Voluntary parting with any property by you or anyone entrusted with it if induced to do so by any fraudulent scheme, trick, device or false pretense.

#### 2. We will not pay for any loss that relies solely upon an audit of records on an inventory computation to prove its factual existence.

#### 3. Except as to ensuing loss not otherwise excluded, we do not cover loss resulting directly or indirectly from:

- a. Acts or decisions of any person, group, organization or governmental body, or their failure to act or decide.
- b. Faulty, inadequate or defective:
  - (1) Construction, reconstruction, repair, remodeling or renovation;
  - (2) Materials used in construction, reconstruction, repair, remodeling or renovation;
  - (3) Design, workmanship, specifications;
  - (4) Siting, surveying, zoning, planning, development, grading or compaction; or

- (5) Maintenance of a part or all of any property.
- 4. Except as to ensuing loss not otherwise excluded, we do not cover loss resulting directly or indirectly from collapse, unless:
  - a. The loss involves collapse of a building or part of a building; and
  - b. The collapse is caused by any of the following:
    - (1) Hidden decay, hidden insect damage or hidden vermin damage;
    - (2) Weight of people, contents, animals, equipment and/or furniture;
    - (3) Defective material or defective methods used in construction, reconstruction, renovation or remodeling;
    - (4) Weight of rain on a roof; or
    - (5) Fire; lightning, windstorm; hail; explosion; smoke; aircraft; vehicles; riot; civil commotion; vandalism; breakage of glass; falling objects; weight of ice, snow or sleet; water damage; all only as covered in this coverage form.

**LIMIT OF INSURANCE**

Our payment for Accounts Receivable in any one occurrence shall not exceed the Limit of Insurance shown in the Declarations for CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE – ACCOUNTS RECEIVABLE or WATER WELL DRILLERS INLAND MARINE PLUS COVERAGE PACKAGE – ACCOUNTS RECEIVABLE.

**ADDITIONAL CONDITIONS**

**Commercial Inland Marine Conditions, Special Conditions** is amended. The following conditions are added.

**1. LOSS PAYMENT**

- a. If you cannot accurately establish the accounts receivable outstanding as of the time of loss or damage, the following method will be used:

- (1) Determine the total of the average of monthly amounts of accounts receivable for the 12 months immediately preceding the months in which the loss or damage occurs; and
- (2) Adjust that total for any normal fluctuations in the amount of accounts receivable for the month in which the loss or damage occurred or for any demonstrated variance from the average for that month.
- b. The following will be deducted from the total amount of accounts receivable, however that amount is established:
  - (1) The amount of the accounts receivable for which there is no loss or damage;
  - (2) The amount of the accounts receivable that you are able to re-establish or collect;
  - (3) An amount to allow for probable bad debts that you are normally unable to collect; and
  - (4) All unearned interest and service charges.
- 2. **OTHER INSURANCE PROVIDED BY US**  
The insurance provided by this coverage form shall apply on an excess basis for any accounts receivable specifically insured under the Inland Marine coverage part or under a separate policy, issued by us or a company affiliated with us.
- 3. **PROTECTION OF RECORDS OF ACCOUNTS RECEIVABLE**  
For coverage to apply under this coverage form, you must keep all records of accounts receivable in a locked safe or vault when:
  - a. You are not open for business;
  - b. You are not using such records; or
  - c. Such records are removed from premises to protect them from loss or damage.
- 4. **TERRITORY**  
This coverage form applies only within the continental United States and Canada.

# VALUABLE PAPERS AND RECORDS COVERAGE

## Commercial Inland Marine

### AGREEMENT

In return for your payment of the required premium, we provide the coverage described herein subject to the policy terms of this coverage form. This coverage is also subject to the Declarations, Commercial Inland Marine Conditions and additional policy terms and conditions relating to cancellation, changes or modifications and inspections.

Endorsements and schedules may also apply. They are shown in the Declarations.

Refer to the Definitions section for additional words and phrases that have special meaning. These words and phrases are shown in quotation marks.

The descriptions in the headings of this coverage form and all applicable endorsements are solely for convenience and form no part of the terms of coverage.

### COVERAGE

#### 1. Property Covered

We cover "valuable papers and records" while such papers and records are:

- a. On the described premises; or
- b. Being moved outside the described premises; and
- c. Temporarily at a premises, other than the described premises, except for storage.

#### 2. Property Not Covered

We do not cover property:

- a. Held as samples for sale or for delivery after the sale; or
- b. Which the trading of or transportation of is prohibited by law.

### PERILS WE INSURE AGAINST

We cover direct physical loss or damage, not excluded in this form, to the property covered.

### EXCLUSIONS

1. We do not cover loss or damage caused directly or indirectly by any of the following, whether or not any other cause or happening contributes concurrently or in any sequence to the loss or damage:
  - a. Seizure or destruction of property by order of governmental authority. We will pay for such acts of destruction taken at the time of a fire to prevent its spread if the fire would be covered under this coverage form.
  - b. Nuclear action, meaning nuclear reaction, radiation, radioactive contamination, discharge of a nuclear weapon, however caused and whether controlled or uncontrolled, or any consequence of any of these. We will cover direct loss resulting from fire if caused by any of these, if fire is covered elsewhere in this coverage form.
  - c. War (declared or undeclared), civil war, insurrection, rebellion or revolution.

- d. Wear and tear; inherent vice, hidden or latent defect; gradual deterioration; mechanical breakdown; insects, vermin, rodents; depreciation; or by processing or any work on the property. We will cover direct loss from fire or explosion which is caused by any of these.
- e. Corrosion, rusting, dampness of atmosphere, or extremes of temperature.
- f. Misappropriation, secretion, conversion, infidelity or any dishonest act by you or others or the employees or agents of either to whom the covered property may be entrusted. This exclusion does not apply to carriers for hire.
- g. Bookkeeping, accounting or errors or omissions in processing or copying, unless fire or explosion ensues and then only for direct loss caused by such fire or explosion.
- h. Electrical or magnetic injury, disturbance or erasure of electronic recordings. We do cover loss caused by lightning.
- i. Collapse except to the extent it is covered under **ADDITIONAL COVERAGE - COLLAPSE**.

2. Except as to ensuing loss or damage not otherwise excluded, we do not cover loss or damage resulting directly or indirectly from:
  - a. Acts, omissions or decisions of any person, group, organization or governmental body.
  - b. Faulty, inadequate or defective:
    - (1) Construction, reconstruction, repair, remodeling or renovation;
    - (2) Materials used in construction, reconstruction, repair, remodeling or renovation;
    - (3) Design, workmanship, specifications;
    - (4) Siting, surveying, zoning, planning, development, grading or compaction; or
    - (5) Maintenance of a part or all of any property.

**ADDITIONAL COVERAGE - COLLAPSE**

We cover risk of direct physical loss or damage resulting directly from collapse of a building or part of a building or structure if such collapse is caused by any of the following:

1. Hidden decay, hidden insect damage or hidden vermin damage;
2. Weight of people, contents, equipment, furniture and/or other personal property;
3. Defective material or defective methods used in construction, reconstruction, renovation or remodeling, but only if such collapse occurs while these operations are in progress;
4. Weight of rain on a roof; or
5. Fire; lightning; windstorm; hail; explosion; smoke; aircraft; vehicles; riot; civil commotion; vandalism; breakage of glass; falling objects; weight of ice, snow or sleet; water damage; all only as covered in this coverage form.

**COVERAGE EXTENSION - REMOVAL**

When there is imminent danger of loss or damage from a peril insured against, this insurance will apply while "valuable papers and records":

1. Are being removed to;
2. Are at; or
3. Being returned from a place of safety. This does not increase the limit of this insurance.

**LIMIT OF INSURANCE**

Our payment for "valuable papers and records" shall not exceed the Limits of Insurance shown in the Declarations for CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE – VALUABLE PAPERS AND RECORDS ON PREMISES; and CONTRACTORS INLAND MARINE PLUS COVERAGE PACKAGE – VALUABLE PAPERS AND RECORDS OFF PREMISES; or WATER WELL DRILLERS INLAND MARINE PLUS COVERAGE PACKAGE – VALUABLE PAPERS AND RECORDS ON PREMISES; and WATER WELL DRILLERS INLAND MARINE PLUS COVERAGE PACKAGE – VALUABLE PAPERS AND RECORDS OFF PREMISES.

**ADDITIONAL CONDITIONS**

**Commercial Inland Marine Conditions, Special Conditions** is amended.

1. **VALUATION** is amended. The following provision is added.

Loss of or damage to "valuable papers and records" will be valued at the cost of restoration or replacement of the lost or damaged information. To the extent that the "valuable papers and records" are not restored, the "valuable papers and records" will be valued at the cost of replacement with blank materials of substantially identical type.

2. The following conditions are added.

**a. Other Insurance Provided By Us**

The insurance provided by this coverage form shall apply on an excess basis for any "valuable papers and records" specifically insured under the Inland Marine coverage part or under a separate insurance policy, issued by us or a company affiliated with us.

**b. Protection of Records of Valuable Papers and Records**

For coverage to apply under this coverage form, you must keep all "valuable papers and records" in a locked safe or vault when:

- (1) You are not open for business;
- (2) You are not using such records; or
- (3) Such records are removed from premises to protect them from loss or damage.

**c. Settlement Option**

We may:

- (1) Make a cash settlement and take all or part of the damaged property; or
- (2) Repair or replace the damaged property with property of like, kind and quality.

**d. Territory**

This coverage form applies only within the continental United States and Canada.

**DEFINITIONS**

1. "Valuable papers and records":
  - a. Means inscribed, written, or printed documents, manuscripts and records including: books, maps, films, drawings, abstracts, deeds and mortgages.
  - b. Does not mean "money" or "securities".
2. "Described premises" means the interior portion of the part of the building you occupy:
  - a. Used for the business purposes; and
  - b. At the location described in the Declarations.
3. "Money" means:
  - a. Currency, coins, bank notes, bullion; and
  - b. Travelers checks, register checks and money orders held for sale to the public.
4. "Securities":
  - a. Means all negotiable and non-negotiable:
    - (1) Instruments; and
    - (2) Contracts representing either "money" or other property.
  - b. Includes:
    - (1) Tokens, tickets, stamps; and
    - (2) Revenue in current use.
  - c. Does not include "money".



**CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM  
AND  
IMPORTANT INFORMATION REGARDING TERRORISM RISK  
INSURANCE COVERAGE**

It is agreed:

1. With respect to any one or more certified acts of terrorism, we will not pay any amounts for which we are not responsible because of the application of any provision which results in a cap on our liability for payments for terrorism losses in accordance with the terms of the federal Terrorism Risk Insurance Act of 2002 (including ensuing Congressional actions pursuant to the Act).
2. Certified act of terrorism means any act certified by the Secretary of the Treasury, in consultation with:
  - a. the Secretary of Homeland Security; and
  - b. the Attorney General of the United Statesto be an act of terrorism as defined and in accordance with the federal Terrorism Risk Insurance Act of 2002 (including ensuing Congressional actions pursuant to the Act).
3. Under the federal Terrorism Risk Act of 2002 (including ensuing Congressional actions pursuant to the Act) a terrorist act may be certified:
  - a. if the aggregate covered commercial property and casualty insurance losses resulting from the terrorist act exceed \$5 million; and
  - b. (1) if the act of terrorism is:
    - a) a violent act; or
    - b) an act that is dangerous to human life, property or infrastructure; and(2) if the act is committed:
    - a) by an individual or individuals as part of an effort to coerce the civilian population of the United States; or
    - b) to influence the policy or affect the conduct of the United States government by coercion.

All other policy terms and conditions apply.

## IMPORTANT INFORMATION REGARDING TERRORISM RISK INSURANCE COVERAGE

The Terrorism Risk Insurance Act of 2002 was signed into law on November 26, 2002. The Act (including ensuing Congressional actions pursuant to the Act) defines an act of terrorism, to mean any act that is certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security and the Attorney General of the United States to be (i) an act of terrorism; (ii) to be a violent act or an act that is dangerous to human life, property or infrastructure; (iii) to have resulted in damage within the United States or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and (iv) to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States government by coercion.

Subject to the policy terms and conditions, this policy provides insurance coverage for acts of terrorism as defined in the Act.

Any coverage for certain commercial lines of property and casualty insurance provided by your policy for losses caused by certified acts of terrorism are partially paid by the federal government under a formula established by federal law. Under this formula, the government will reimburse us for 85% of such covered losses that exceed the statutory deductible paid by us. However, beginning January 1, 2016 the share will decrease 1% per calendar year until it equals 80%. **You should also know that in the event aggregate insured losses exceed \$100 billion during any year the Act is in effect, then the federal government and participating United States insurers that have met their insurer deductible shall not be liable for the payment of any portion of that amount of the loss that exceeds \$100 billion. In the event that aggregate insured losses exceed \$100 billion annually, no additional claims will be paid by the federal government or insurers.** This formula is currently effective through December 31, 2020 unless extended.

The premium charge, if any, for this coverage is shown separately on the attached Declarations page. In the event of a certified act of terrorism, future policies also may include a government assessed terrorism loss risk-spreading premium in accordance with the provisions of the Act.

Please contact us if you would like to reject coverage for certified acts of terrorism.